

**9708/M/J/21 V12:**

1-A:

Since local tourist office charges for services, that is, for providing **information**, it becomes an "**economic good**". Additionally, rent has to be paid for **camping**, which makes it an "**economic good**" too.

Economic goods have a degree of scarcity, and therefore an "opportunity cost". This is in contrast to free goods like air, sea, and water, where there is no scarcity but abundance, which is why **"swimming and sightseeing" are free goods.**

This makes it evident that only option A becomes correct.

2-D:

A) A bureaucratic system of decision-making: A bureaucratic decision-making process can often be slow, inefficient, and prone to red tape. Both consumers and producers would generally view this aspect unfavorably, as it can lead to delays, inefficiencies, and reduced flexibility in responding to market demands.

B) A long response time to changing economic events: If a planned economy has a long response time to changing economic events, it means that adjustments to production, pricing, or resource allocation may be slow or inadequate. Both consumers and producers would generally view this aspect unfavorably, as it can result in market inefficiencies and missed opportunities.

C) An absence of incentives to work and to produce: In a planned economy with an absence of incentives, there may be little motivation for individuals to work hard or be productive. This can result in a lack of innovation, low-quality products, and reduced overall output. Both consumers and producers would generally view this aspect unfavorably, as it can lead to a decline in the quality and variety of goods and services available.

D) An emphasis on the production of capital goods: In a planned economy that prioritizes the production of capital goods, resources and investments are primarily directed towards building infrastructure, machinery, and other productive assets. While this focus may benefit producers by expanding their capacity for production and improving efficiency, consumers might view it unfavorably if it means less emphasis on producing consumer goods and meeting their immediate needs, **causing a short term fall in their standard of living.**

3-C:

**Focus on the word “most”. The impact inflation has on the “time value of money” is that it decreases the value of money over time. The time value is a concept that describes how the money available is worth more the same amount in future. This applies to “saved money as well”**

**Real interest rate = Nominal interest rate – Rate of inflation.**

**Let’s assume that initially nominal interest rate was 10%, and now when inflation rate rises from 2% to 20%, the real interest rate falls by 10%, which means that the value of savings is eroded in real terms.** This is why, key C, becomes correct

4-D:

**4** The statement that would be classified as a positive statement by an economist is D) "The government will not increase direct taxation."

Positive statements in economics are factual statements that can be objectively analyzed and tested for their accuracy. They describe how the world is or how it will be without expressing value judgments or opinions. Positive statements are based on empirical evidence and can be confirmed or refuted through observation or analysis.

In this case, the statement "The government will not increase direct taxation" is a positive statement because it presents a factual claim about the government's future actions regarding direct taxation. It can be assessed based on whether the government does or does not increase direct taxation, making it subject to empirical verification.

On the other hand, options A, B, and C involve value judgments or normative statements that express opinions or subjective preferences. These statements reflect what someone believes should or should not be done, rather than describing how things are or will be based on factual evidence.

5-B:

5-B:

A- Although, in the short run, majority of the factors of production for example, capital are fixed and cannot be varied, thus making supply "inelastic", in response to changes in demand, it can still be varied by using "existing machines and factories" more intensively.

B- PES increases as when time period lengthens, that is, in the long run, when factors for eg. capital can be varied, making supply more elastic, thus making it correct. C- PES is zero in the momentary period. D- PES is elastic in the long run, as explained in option B.



\* current period in time. Supply is fixed in the momentary run where  $PES = 0$ , i.e. spaces in a parking lot are fixed.

6-D:



A – When a percentage increase in price causes demand to fall by a larger percentage, this represents the case of elastic demand, whereby  $PED > 1$

B \_ A percentage increase in price, according to the law of demand, causes the demand to fall and not rise.

C \_ When qty demanded remains fixed or unchanged regardless of the price level, this represents the case of perfectly inelastic demand, whereby  $PED = 0$ .

D- It can be seen in the figures above that in the case of unitary elastic demand, whereby  $PED = 1$ , a percentage change in price brings an equal percentage change in qty demanded in the opposite direction, for example: a decrease in price by 10% leads to an extension in qty demanded by 10%, leaving Total Revenue unchanged. This is why, key D, becomes correct.

7-B:

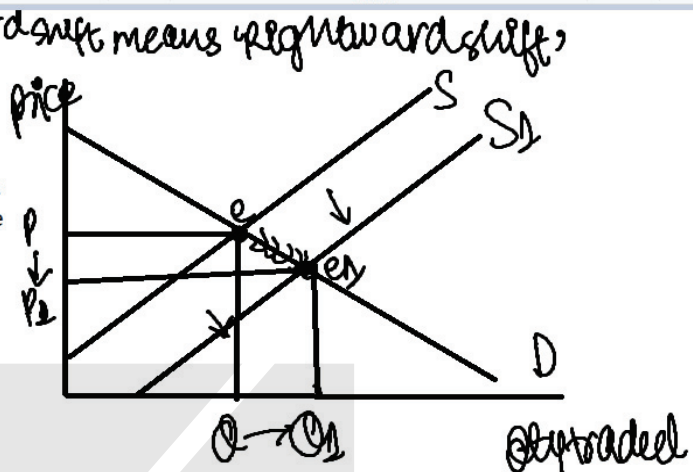
7 What leads to a downward shift of a normal supply curve?

- A a rise in the cost of transporting goods
- B a rise in the productivity of the labour force**
- C a rise in the rate of sales tax on the good
- D a rise in the wage rate paid to workers

A- A rise in transport costs will increase costs & decrease supply, bringing a leftward shift in the supply curve.

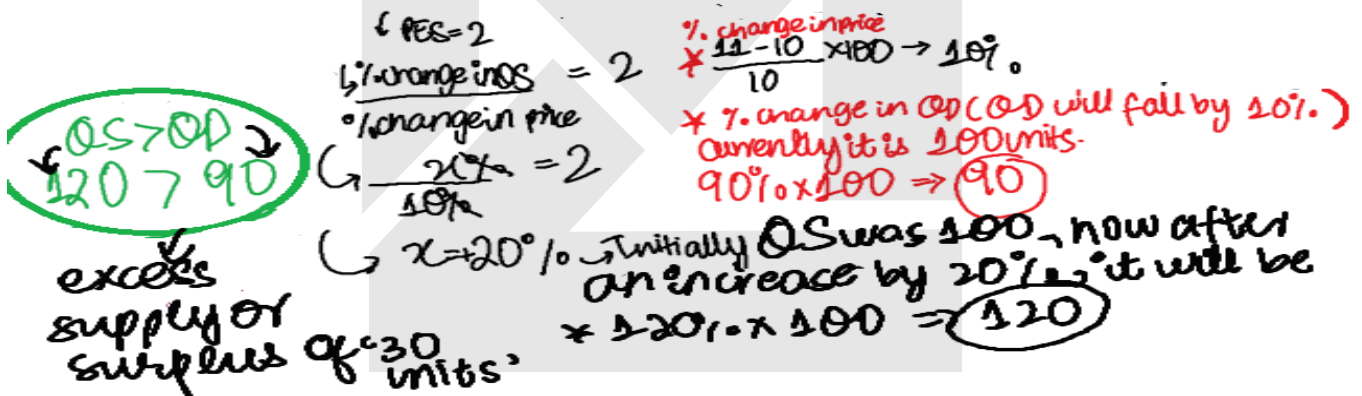
B- A rise in the productivity of the labour force will decrease the costs of production, causing an increase in supply, and a rightward shift in the supply curve.

C & D- A rise in rate of sales tax and wages will increase costs of production, causing a decrease in supply.

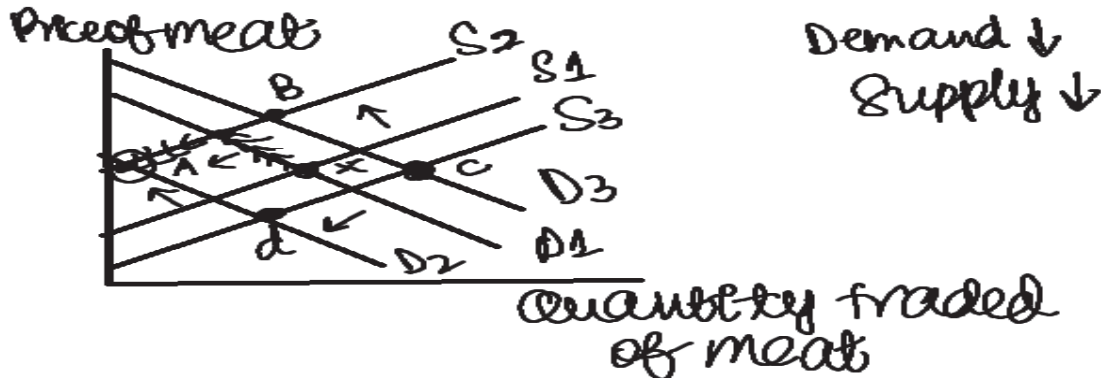


8-D:

**UNITARY ELASTIC DEMAND: A PERCENTAGE CHANGE IN PRICE BRINGS AN EQUAL PERCENTAGE CHANGE IN QD.**



9-A:



An increase in the cost of producing meat will cause a reduction in supply or in other words ,a leftward shift in the supply curve .Whereas ,a change in trends may cause consumers to reduce the demand for meat and switch to vegan diet, resulting in a leftward shift in the demand curve, in turn causing a new equilibrium to be achieved from X to A

10-D:

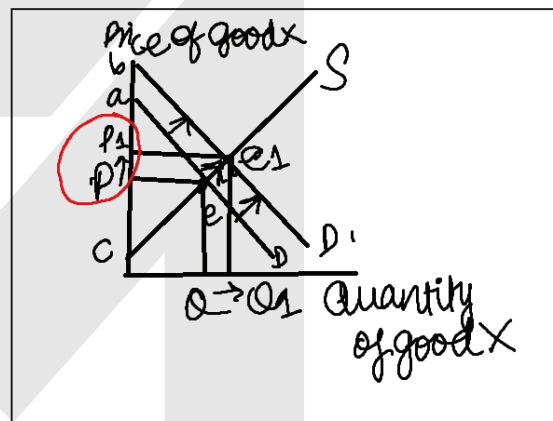
Since good X and Y are complements, an increase in supply of good Y will create a surplus and cause the price of good Y to fall, apart from it causing an extension in qty demand of good Y, it will also cause an increase in demand of good "X" that is the complementary good, since there is a negative relationship between the price of one good, and qty of another in case of complements.

a-The equilibrium price of X does not decrease, neither is there a decrease in equilibrium quantity

b-The equilibrium price does not decrease, even though the equilibrium quantity increases but overall, this option is wrong.

c-The equilibrium price of X does increase but there is not a decrease in equilibrium quantity

d-Since the demand for good X increases from D to D1, since consumers now place a greater value to the product and their willingness to pay increases, and because of a shortage, **equilibrium price rises from P to P1**, and since producer surplus increases from  $P_{ec}$  to  $P_{1e1c}$ , producers are signaled to **extend equilibrium quantity (quantity supplied) from Q to Q1**. This is why this option is correct. This can be seen in figure on the right.



11-D:

A - When private companies start to prioritize profits, they will be charging higher prices, thus leading to a rise in "producer surplus", which is why this is incorrect. This can be seen in figure#1.



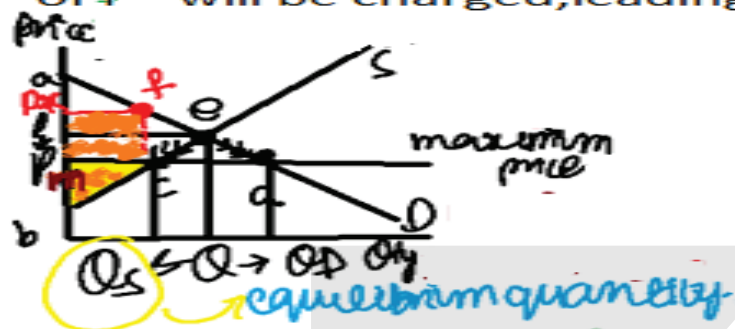
B- Again to be able to pay out higher dividends , higher profits will have to be made, and to achieve this purpose, prices will have to be raised, which will increase the size of the "producer-surplus"

C-

Initial producer surplus:  $P_{mcb}$

New producer surplus:  $P^*fcb$

Because of black marketing, higher illegal prices of  $P^*$  will be charged, leading to a rise in P.S.



D- Because of a change in elasticity from inelastic to elastic, the PES decreases, thus making this option correct.

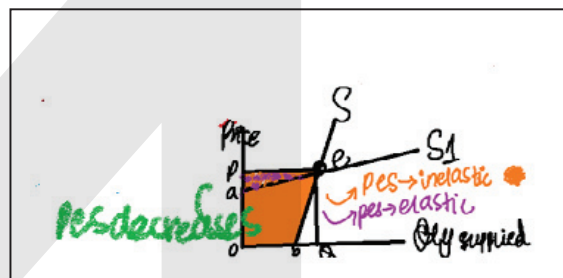
12-B:

A – Adding consumer surplus to total expenditure gives total willingness .

B \_ Market demand is the horizontal summation or combination of individual demand curves, thus making this correct.

C- Combining price elasticity of individual demands gives “price elasticity of demand”

D – Multiplying price by qty demanded gives “total revenue”



13-A:

Price elasticity of demand, income elasticity of demand, and cross elasticity of demand are all important concepts that can help a firm to maximize its total revenue. Price elasticity of demand: Price elasticity of demand measures the responsiveness of the quantity demanded to a change in price. If the price elasticity of demand is high, it means that a small change in price leads to a large change in the quantity demanded, and vice versa. If the price elasticity of demand is low, it means that a change in price has little effect on the quantity demanded.

A firm can use price elasticity of demand to maximize total revenue by adjusting its prices based on the elasticity of demand. If the demand for a product is elastic (i.e., price-sensitive), then a decrease in price will lead to a relatively large increase in the quantity demanded, which can offset the decrease in price and increase total revenue

Income elasticity of demand: Income elasticity of demand measures the responsiveness of the quantity demanded to a change in income. If the income elasticity of demand is positive, this represents substitutes and means that as income increases, the quantity demanded increases, and vice versa. If the income elasticity of demand is negative, this represents inferior goods, which means that as income increases, the quantity demanded decreases.

If a product is a normal good, in a period of Boom, when there is a high demand for the good, and willingness to pay of consumer is high, a firm can extend quantity supplied at a higher price level to maximize Total Revenue.

Cross elasticity of demand: Cross elasticity of demand measures the responsiveness of the quantity demanded of one product to a change in the price of another product. If the cross elasticity of demand is positive, it means that as the price of one product increases, the quantity demanded of another product also increases, and vice versa. If the cross elasticity of demand is negative, it means that as the price of one product increases, the quantity demanded of another product decreases.

A firm can use cross elasticity of demand to maximize total revenue by identifying which products are complementary and which are substitutes. If two products are complementary (i.e., cross elasticity of demand is negative), then the firm can bundle them together and offer a discount to increase the demand for both products. Conversely, if two products are close substitutes (i.e., cross elasticity of demand is positive), then the firm can decrease the price of their product to capture the market share of the other product.

**In summary, price elasticity of demand, income elasticity of demand, and cross elasticity of demand are all useful to a firm in maximizing total revenue by providing insights into consumer behavior and preferences.**

14-A:

A: Following nationalization, dividend payments will immediately stop as they are given under private sector because private shareholders are no longer the owners, thus making this correct

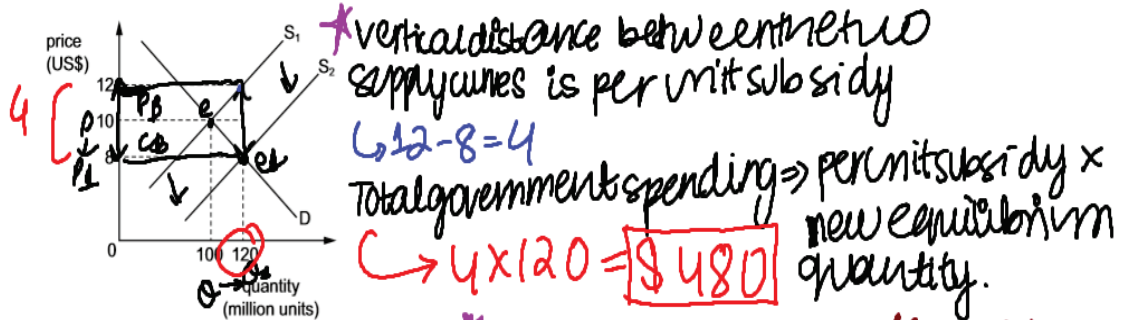
B: Job losses would not definitely stop, although the govt prioritizes full employment, there is no certainty of it in the short term.

C: Prices are not likely to be increased by the public sector.

D: The govt may be reluctant to close unprofitable factories because it has to maintain "full employment"

15-C:

15 The diagram shows the effect of the government introducing a subsidy on a product.



What are the effects of the subsidy on government spending and consumer spending?

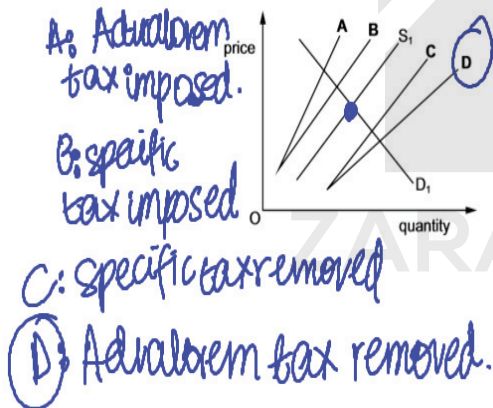
|                                       | government spending          | consumer spending            |
|---------------------------------------|------------------------------|------------------------------|
| <input checked="" type="checkbox"/> A | increases by US\$240 million | decreases by US\$40 million  |
| <input checked="" type="checkbox"/> B | increases by US\$240 million | decreases by US\$200 million |
| <input checked="" type="checkbox"/> C | increases by US\$480 million | decreases by US\$40 million  |
| <input type="checkbox"/> D            | increases by US\$480 million | decreases by US\$200 million |

\* Consumer spending  $\Rightarrow$  reflected through area of total expenditure. (price  $\times$  qty)  
 Initially  $10 \times 100 = 1000$   
 New  $8 \times 120 = 960$  decreases by \$40 million

16-D:

16 In the diagram,  $S_1$  and  $D_1$  are the initial supply and demand curves of a product.

What would be the new supply curve following the removal of an ad valorem tax on the product?



Advalorem tax – The per-unit tax is not the tax since it is imposed as a percentage on spending. The supply curve diverges away from the original supply curve at “higher and higher prices”

17-A:

7

17 The table shows sources of government revenue in a fiscal year for an economy.

| source of revenue            | \$ billions |
|------------------------------|-------------|
| sale of government assets    | 100         |
| tax on self employed         | 1000        |
| carbon tax on goods produced | 100         |
| corporate taxes              | 500         |
| capital gains tax            | 100         |
| goods and services tax       | 1000        |
| air passenger tax            | 100         |

What is the total amount, in \$ billions, of tax revenue raised by indirect taxes?

- A 1200      B 1300      C 1400      D 1600

$$1000 + 100 + 100 \Rightarrow 1200$$

Direct tax → tax on income, and wealth  
 examples: income tax (tax on individuals earning income)  
 corporation tax (tax on company's profits)  
 capital gains tax (rise in value of wealth)

Indirect tax is a tax on goods and services, for example:

goods and services tax  
 carbon tax on goods  
 Air passenger tax (Tax on services)

18-A:

A) This statement highlights a key reason why the government should provide education at zero price. In a free market, individuals may not have complete information about the long-term benefits of education or the specific skills and knowledge they need to acquire. As a result, they might undervalue education or make suboptimal choices due to imperfections or **information failure**. By providing education at zero price and financing it through taxation, the government ensures that individuals have access to education and can benefit from it without being limited by their imperfect information.

B) This is incorrect as education is a private good, in the case of which allocative mechanism known as price mechanism can be used, and since prices can be attached, revenues and in turn profits can be earned. Secondly, it is a private good, because it exhibits the characteristics of rivalry as "consumption of education by one person reduces the service available for other person due to schools being limited". Further, it also exhibits the characteristics of excludability as "payment by one individual restricts others from availing education"

C) Some consumers may be willing to pay for education, although it may be less due to existing imperfections.

D) Non-rivalry means that one person's consumption of education does not diminish the ability of others to consume it, and non-excludability means that it is difficult to exclude individuals from benefiting from the product. **This is incorrect as education is a private good , in the case of which allocative mechanism known as price mechanism can be use, and since prices can be attached, revenues and in turn profits can be earned. Secondly, it is a private good , because it exhibits the characteristics of rivalry as “ consumption of education by one person reduces the service available for other person due to schools being limited” .Further, it also exhibits the characteristics of excludability as “payment by one individual restricts others from availing education”**

19-A:

A movement along the Aggregate supply curve will occur as a result of a shift in Aggregate demand curve

- A- A rise in the demand for exports leads to a rise in net exports , representing “net injections” in the circular flow, in turn contributing to a rise in Aggregate demand.And when Aggregate demand curve shifts rightwards, this leads to a movement along the Aggregate supply curve.

B and D: A rise in the price of raw materials and sales tax will increase costs of production,leading to a fall in Aggregate supply,causing a leftward **shift in AS curve** .

C: A rise in productivity of labour , leads to a fall in costs, and in turn a rightward shift in the AS curve,therefore making this incorrect.

**20-B:**

- A- Terms of trade is the ratio of export prices to the ratio of import prices.As a result of devaluation, export prices decrease relative to import prices, and when numerator decreases relative to denominator,this leads to a worsening effect on the Terms of Trade.
- B- When as a result of devaluation, export prices fall and exported goods become internationally competitive,there is an extension of international qty demanded by a higher percentage , when the demand for exported goods is elastic, this leads to a rise in export revenues. And when export revenues rise,this represents injections in to the circular flow, contributing to a rise in Aggregate demand,thus making this correct.
- C- As stated above, when devaluation increases export revenues relative to import expenditures, this leads to an improvement in the Balance of Trade position,subsequently leading to increase a current account surplus.**This option comments about a reduction in current account surplus,thereby making this incorrect.**
- D- As stated in option B, when devaluation increases Aggregate demand,whereby there is a situation when Aggregate demand outpaces Aggregate supply , that is, when the actual is closer to potential,this leads to shortages,resulting in a rise in general price level, representing “demand pull inflation”.This is why,this is incorrect.

21-B:

A ) The capital account in the balance of payments records the flows of financial capital between countries. Subsidizing the cost of machinery used for export does not affect the capital account, instead it will reduce the prices of exported goods, and when they become internationally competitive , there is an extension in international qty demanded of exports, leading to a rise in export revenues, resulting in a reduction of deficit on the current account.

B) The current account in the balance of payments records the flows of goods, services, income, and current transfers between countries. By reducing the cost of machinery, the subsidy encourages domestic manufacturers to export goods more competitively. This can lead to an increase in export revenues as qty demanded of exported goods extends by a relatively higher percentage when the demand for them is elastic, subsequently leading to a decrease in the deficit on the current account, as the value of exports would likely increase relative to imports.

C) As mentioned earlier, subsidizing the cost of machinery used for export does not impact the capital account. It does not lead to an increase in capital outflows or affect the deficit on the capital account.

D) This option is incorrect. Subsidizing the cost of machinery used for export is likely to have a positive impact on the current account. By promoting exports through reduced machinery costs, the subsidy can contribute to an increase in export revenue and potentially reduce the deficit on the current account.

22-D:

A) Cost-push inflation can be caused by a rising exchange rate: This statement is incorrect. Cost-push inflation occurs when there is an increase in the cost of production, such as wages or raw materials, which leads to higher prices. **A rising exchange rate, on the other hand, makes imports cheaper and can potentially reduce the cost of production, making this statement incorrect.**

B) Cost-push inflation can be caused by lower indirect taxes: This statement is incorrect as well. Lowering indirect taxes, such as sales taxes or value-added taxes may reduce **costs of production ,increasing Aggregate supply ,thereby reducing cost push inflation.**

C) Demand-pull inflation occurs when aggregate demand in the economy exceeds the supply of goods and services. Appreciation in the long run , when increases the prices of exported goods, and in turn leads to a contraction in qty demanded of exported goods by a relatively higher percentage when the demand for them is elastic, leads to a fall in export revenues ,relative to import expenditures that rise. And, these net leakages from the circular flow, arising from a BOT deficit, leads to a fall in Aggregate demand, and in turn a reduction in demand pull inflation.

D) This statement is correct. Lowering direct taxes, such as income taxes, can increase disposable income for individuals and businesses. This increase in disposable income can lead to higher consumer spending driving up aggregate demand. When aggregate demand exceeds the supply of goods and services, it can result in demand-pull inflation.

23-C:

23 The figures shown are from New Zealand's balance of payments for 2017 according to data published by Stats NZ in September 2018.

*Current account is always balanced in capital and financial accounts.*

|                           | NZ\$m |
|---------------------------|-------|
| capital account balance   | 1300  |
| current account balance   | -7000 |
| financial account balance | 7600  |
| goods balance             | -3000 |
| services balance          | 5000  |

What was the value of the balancing item (net errors and omissions) in NZ\$m?

A -3900    B -2000    **C -1900**    D 5700

*Current account + Capital account + Financial account + balancing item = 0*

$$-7000 + 1300 + 7600 + x = 0$$

$$1900 + x = 0$$

$$1900 - 1900 = 0$$

$$x = -1900$$

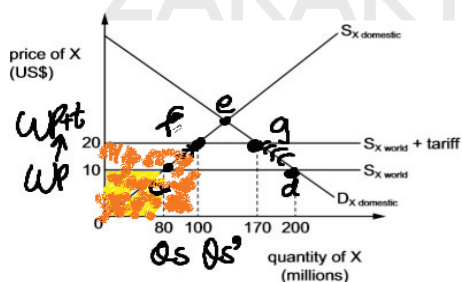
24-C:

1 -A country can produce a good at a lower opportunity cost than another country. **This is the definition of "comparative advantage"**

2 A country can produce a greater quantity of a good for the same quantity of inputs than another country. **This is the definition of "absolute advantage". Therefore, no other option except for C can be correct.**

25-D:

25 The diagram shows the effect of the introduction of a tariff on good X by country Y.



*\* Initial Total Revenue received by producers:  $10 \times 80 = 800$*

*\* New Total Revenue received by producers:  $20 \times 100 = 2000$*

What is the revenue, in US\$ million, received by producers of good X in country Y after the tariff is introduced?

- A 400    B 800    C 1000    **D 2000**

**26-A:**

A - When import expenditure declines relative to export revenues, this represents a favourable effect on the Balance of Trade position, **leading to a decline in deficit in the trade account, thus making this correct.**

B-This is incorrect as a fall in consumption represents a rise in savings.

C-We have info about declining import expenditures (**which is price of imported goods multiplied by qty demanded of imported goods**), but we do not have info about import prices, thus making this option incorrect.

D-A situation of recession whereby there is less demand for domestically produced products depicts a situation of a rise in "unemployment".

**27-D:**

**The current account balance being worsened represents greater outflows of currency relative to inflows, and when supply of currency rises relative to demand for currency, this signifies depreciation of the exchange rate.**

**The line represents "worsening of the current account balance" which alludes to the fact that more imports are being done, due to rising international competition, which leads to a fall in prices of imported goods, and in turn an extension in qty demanded of imported goods, and that too by a relatively higher percentage, since the demand for them is elastic, leading to a rise in "import expenditures"**

**When they rise, costs of production of domestic producers rise, leading to a fall in Aggregate supply, leading to an increase in "cost push inflationary pressures".**

**This is why, option D is correct.**

**28-B:**

B) Because the monetary and fiscal policies involved will reinforce each other: This option is correct. When higher interest rates and increased taxation on expenditure are implemented together, they can reinforce each other's impact on the economy, potentially leading to domestic deflation.

Higher interest rates, as a part of contractionary monetary policy, can reduce the money supply, and therefore increase interest rates, subsequently driving up borrowing costs, leading to a reduction in investment. This can lead to a decrease in aggregate demand, potentially resulting in lower prices and deflationary pressures.

Increased taxation on expenditure (indirect taxes), will raise the prices after reducing Aggregate supply, contributing to a fall in real income, which will in turn result in a fall in consumer spending, and in turn a decrease in Aggregate demand, which can exacerbate deflationary pressures.

**When both contractionary monetary policy (higher interest rates) and contractionary fiscal policy (increased taxation on expenditure) are implemented simultaneously, they work in the same direction, reinforcing each other's impact on reducing aggregate demand and potentially causing deflation.**

A) This option is incorrect. It suggests that the contractionary monetary policy (higher interest rates) will override the expansionary fiscal policy, implying that the impact of increased taxation on expenditure will be nullified. However, the statement fails to acknowledge that both policies can work together to reinforce the deflationary impact.

**C) IT IS ALSO INACCURATE BECAUSE IT IS CLAIMING HIGHER RATES TO BE A PART OF EXPANSIONARY MONETARY POLICY.**

D) It suggests that the monetary and fiscal policies involved will cancel each other out, implying that their impact on deflation will be nullified. However, in reality, both policies can work together and reinforce each other's impact on reducing aggregate demand and potentially causing deflation.

29-B:

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✖ Expenditure reducing policies are also known as expenditure-dampening policies. The target of these policies is to reduce expenditure on imported goods. Its effectiveness depends upon proportion of income spent on the imported goods. These include contractionary fiscal and contractionary monetary policies. Here, increased direct taxation (option B) is a reducing policy, making this option correct.

✖ Expenditure switching policies aim to switch the expenditure of domestic residents from imported goods to domestically manufactured goods. These involve "devaluation" (option A), tax incentives for exporters" (option C), and imposition of tariffs on imported goods (option D). This is why, all these options become incorrect.

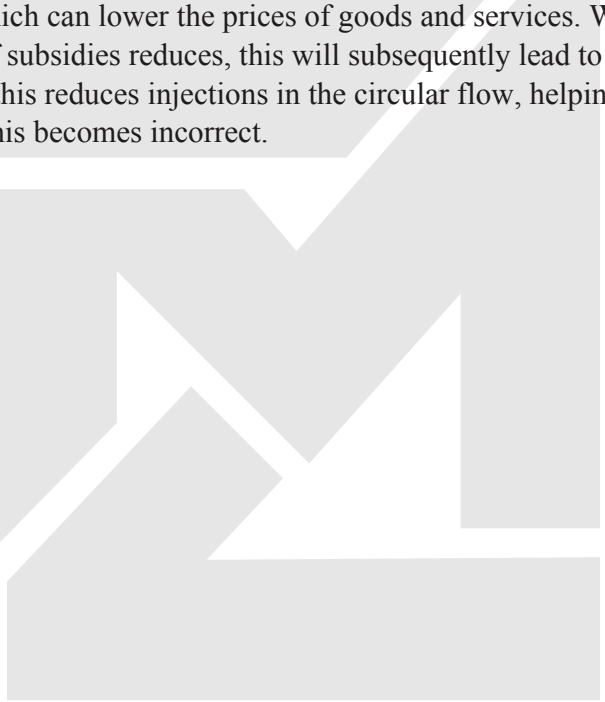
30-C:

A) Increasing income tax: Increasing income tax can potentially reduce the rate of inflation. When income tax rates are increased, individuals have less disposable income available for spending. This reduction in spending can lead to decreased aggregate demand, which can help mitigate inflationary pressures. Therefore, increasing income tax can contribute to a reduction in the rate of inflation. Option A is incorrect.

B) Reducing government spending: Reducing government spending can also contribute to a reduction in the rate of inflation. When government spending is reduced, there is less demand for goods and services in the economy, which can help alleviate inflationary pressures. As a result, reducing government spending can be an effective policy to counter inflation. Option B is incorrect.

C) Reducing interest rates: This is the correct answer. Reducing interest rates is unlikely to cause a reduction in the rate of inflation. Lowering interest rates will reduce the costs of borrowing, stimulating a rise in investment expenditure, leading to a rise in Aggregate demand, which will contribute to a rise in inflation rather than decreasing it.

D) Removing subsidies: Subsidies are payments made by the government to support specific industries or sectors, which can lower the prices of goods and services. When government spending on payment of subsidies reduces, this will subsequently lead to a reduction in Aggregate demand, as this reduces injections in the circular flow, helping to reduce demand pull inflation. This is why, this becomes incorrect.



ZARAK MUSHTAQ